

ECONOMICS

9708/11

Paper 1 Multiple Choice

October/November 2019

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Done

This document consists of **12** printed pages.

opinion/value judgement

1 What is correct for a normative statement?

- A It is objective and based on fact.
- B It is objective and can be proved correct.
- ✓ C It is subjective and based on opinion.
- D It is subjective and can be reliably tested.

positive statement

→ * Shows combinations of output that an economy can produce with its given resources

2 What does a production possibility curve show?

- A the maximum output that can be produced by a firm in a year NO
- B the maximum output that can be produced per worker per year in the economy NO
- C the maximum output that could be exported from a country NO
- ✓ D the maximum output of two or more goods in an economy from a given amount of inputs

3 In Zimbabwe there was hyperinflation.

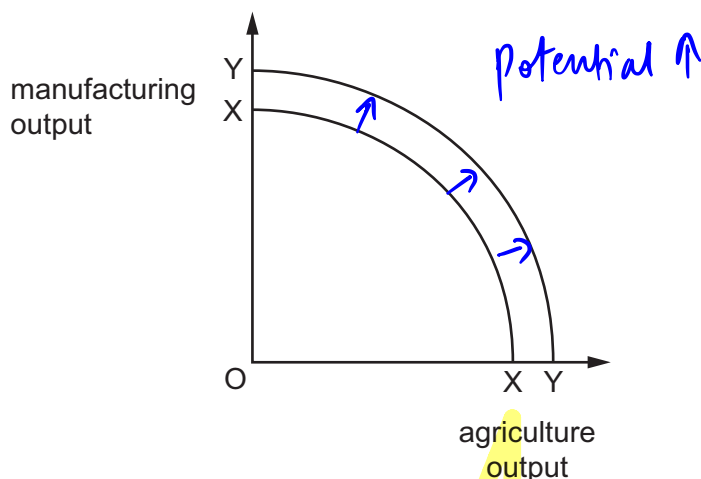
Which two functions of money might the Zimbabwe dollar be most likely to have still performed during this hyperinflation?

- A medium of exchange and store of value (not possible to store, bank can never match the interest rate)
- B standard for deferred payments and unit of account
- C store of value and standard for deferred payments → payment can't be deferred as rate can't be anticipated
- ✓ D unit of account and medium of exchange → exchange will still occur
→ some market value will still be set

In economics, unit of account is one of the money functions. A unit of account is a standard numerical monetary unit of measurement of the market value of goods, services, and other transactions

In economics, a medium of exchange is any item that is widely acceptable in exchange for goods and services. In modern economies, the most commonly used medium of exchange is currency.

- 4 The diagram shows two production possibility curves, XX and YY.



What would cause a movement from XX to YY?

- A a decrease in scarce resources *potential ↓*
 B a decrease in the cost of resources *cost ↓, AS ↑, current output ↑*
 C an increase in the cost of labour *cost ↑, AS ↓, current output ↓*
 ✓ D an increase in the labour force *potential of the economy increases.*

- 5 The table shows the market demand and supply for bananas over a year. At a market price of 8 cents per kg there is disequilibrium in the market.

price of bananas (cents per kg)	total market demand (million tonnes)	total market supply (million tonnes)
4	1000	150
6	800	300
8	600	450
10	400	600
12	200	750

$Q_d > Q_s : 600 > 450$

What action would the government have to take to achieve market equilibrium at a price of 8 cents per kg?

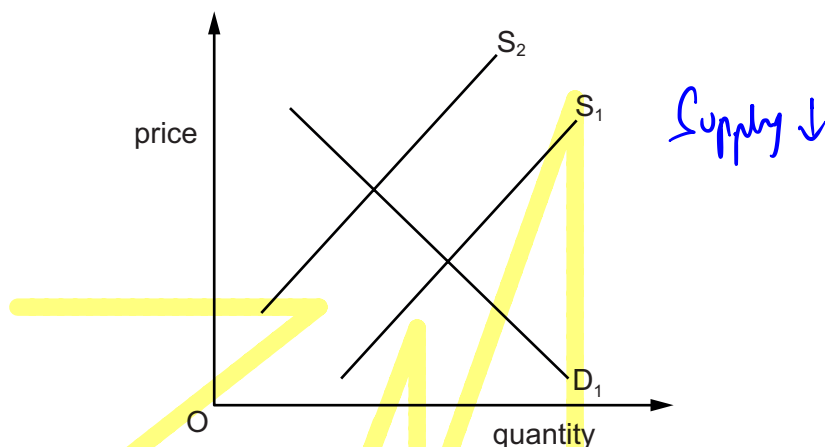
- ✓ A grant a subsidy of 2 cents per kg to producers *Qs: 450 to 600, equilibrium*
 B impose a tax of 4 cents per kg on consumers *Qd ↓ to 200*
 C purchase the entire supply at 8 cents and sell at 4 cents *Doesn't achieve equilibrium, see working*
 D ration consumers to 75 kg each per year *Doesn't achieve equilibrium*

Price and quantity supplied
movement

6 In calculating the short-run supply schedule for a firm, what is assumed to remain unchanged?

- A the number of consumers (Demand factor, movement in supply)
 - B the price of the good
 - C the quantity of raw material inputs
 - ✓ D the state of technology (other factors, shift)
- Price and quantity not held constant.

7 The graph shows the demand and supply curves for an industry.

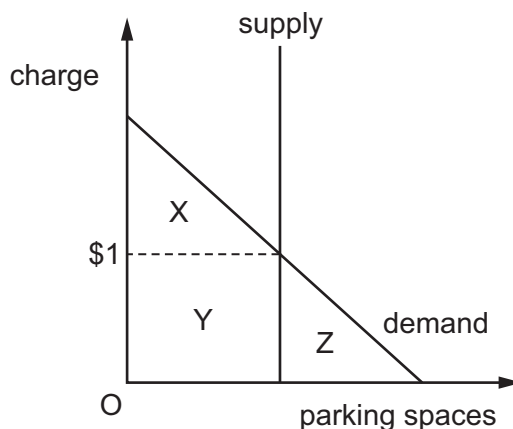


What would cause a shift in the supply curve from S_1 to S_2 ?

- A an increase in the number of firms in the industry (firms ↑, S ↑)
- B an increase in the number of workers employed (output ↑, S ↑)
- C an increase in the productivity of the workforce (efficiency ↑, S ↑)
- ✓ D an increase in the wage rates paid to workers (wage ↑, cost ↑, S ↓)

8 The diagram shows the outcome when a landowner, who has allowed motorists to park on his field at no cost, introduces a parking charge of \$1.

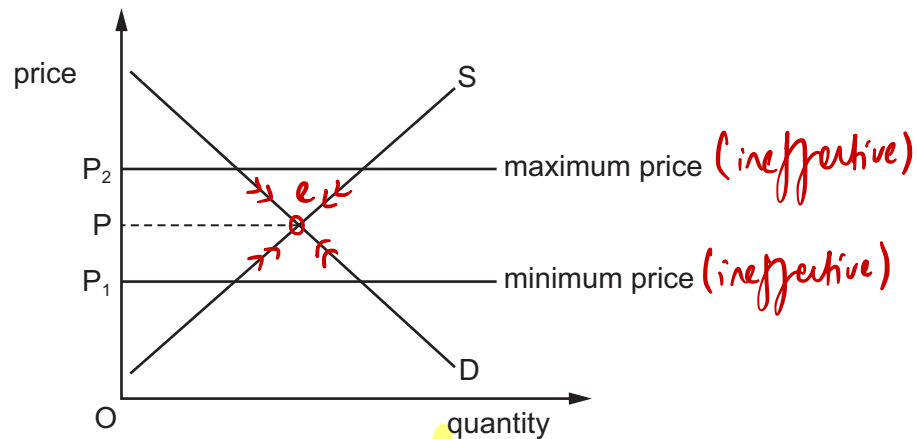
fix supply, benefit: X+Y
price charged, C.S = X
loss of C.S : Y.



What is the loss of consumer surplus that results?

- A X only
- B X + Y
- ✓ C Y only
- D Y + Z

- 9 The diagram shows the market for a good.



If the government imposes a minimum price at OP_1 and maximum price at OP_2 what would happen?

- ✓ **A** The price will be unchanged at OP . (price mechanism operational)
- B** The price will fall to OP_1 . ✗
- C** The price will rise to OP_2 . ✗
- D** There will need to be rationing by the government. ✗ (Effective maximum price is substitution situation mein)
- 10 Two goods, X and Y, have a cross elasticity of demand of +1.8. Good Y has an income elasticity of demand of -0.6. Inferior

An increase in both the incomes of consumers and the price of good Y will have which combination of effects?

	quantity demanded of X	quantity demanded of Y
A	fall	fall ✓
B	fall	rise
✓ C	rise ✓	fall ✓
D	rise ✓	rise

Income ↑
good Y (D ↓)
Inferior
Negative relationship

Price Y ↑
Substitutes
Switch to good X
Demand X ↑
Quantity X ↑
+ve relationship

- 11 What is price elasticity of supply?

- A** the change in the quantity supplied when a price changes
- B** the change in the quantity supplied when demand changes
- C** the comparison of the proportionate change in supply to the proportionate change in demand ✗
- ✓ **D** the comparison of the proportionate change in supply to the proportionate change in price (see the formula)

$$\frac{\% \Delta \text{ in } Q_s}{\% \Delta \text{ in price}}$$

↳ % / proportionate

Keeping all other factors constant or taking one into isolation.

12 What does the assumption 'ceteris paribus' mean when economists analyse the way in which the quantity demanded of a good changes?

- A Changes in quantity demanded can cause changes in any of the other variables. *No, only price*
- B Consumer preferences are always assumed to remain unchanged. *Not related to ceteris paribus*
- ☒ C Only one variable is assumed to change while the others remain the same. *Correct, price in isolation.*
- D Several variables change simultaneously. *No, only price*

13 In which situation is the demand for a product said to be price elastic?

- ☒ A A fall in price increases expenditure on the product. *Price ↓ QD ↑, TR | TE ↑ (-ve relationship between price and TR | TE).*
- B A fall in price increases quantity demanded.
- C A rise in price increases expenditure on the product. *Inelastic demand*
- D A rise in price reduces quantity demanded. *Law of demand.*

14 Which product is most likely to be provided only by the government?

- ☒ A national defence *public good, non-rival, non-excludable, free rider problem*
 - B national health
 - C national museums
 - D national theatres
- Price charged, private good.*

15 Which term is given to an income received by an individual for which there is no corresponding contribution to output? *Transfer payment.*

- A profit
 - B revenue
 - C salary
 - ☒ D transfer payment
- corresponding output.*
- * A transfer payment is a payment of money for which there are no goods or services exchanged. Transfer payments commonly refer to efforts by local, state, and federal governments to redistribute money to those in need.
- * Transfer payments are a type of government expenditure that do not involve the exchange of goods or services. Examples of transfer payments include Social Security, Medicare, Medicaid, unemployment benefits, and welfare programs.

16 A government policy favours older people at the expense of younger people.

Which would be most likely to correct such an imbalance?

- A an increase in expenditure on government-provided pensions *older people ↑*
- ☒ B an increase in government-subsidised training schemes for school-leavers *young people ↑*
- C an increase in the rate of income tax on earned incomes *young people ↓*
- D an increase in the rate of interest on savings *old people ↑*

Technically benefits both

Training can't be associated with old people

* A natural monopoly is a monopoly in an industry in which high infrastructure costs and other barriers to entry relative to the size of the market give the largest supplier in an industry, often the first supplier in a market, an overwhelming advantage over potential competitors.

Shifts supply ↑ 7

17 A government gives a subsidy to a producer of a product.

What will be the likely effect of this?

- A a shift to the left in the demand curve and a rise in equilibrium quantity $\Delta \downarrow$
- B a shift to the left in the supply curve and a rise in equilibrium quantity $\Delta \downarrow$
- C a shift to the right in the demand curve and a fall in equilibrium price $\Delta \uparrow$
- ☒ D a shift to the right in the supply curve and a fall in equilibrium price $\Delta \uparrow$, surplus, $P \downarrow$, $Q \uparrow$

18 Which is the **most** appropriate reason for the continued government ownership of a natural monopoly? *Read definition (above) No*

- A The government will guarantee competitive behaviour. *only controlled by government.*
- B The government will ignore any losses made by the monopoly. *can't ignore loss*
- C The government will maximise profits. *Not its objective*
- ☒ D The government will take account of external benefits. *externalities considered*

19 When will the imposition of a tariff by a country on the goods and services of its major trading partners reduce the country's expenditure on imports? *Elastic*

- A when the income elasticity of demand for imports is greater than 1
- ☒ B when the price elasticity of demand for imports is greater than 1 *Elastic demand, $M_p \uparrow$, $M_Q \downarrow$.*
- C when the price elasticity of demand for imports is less than 1 *Inelastic, $Q_d \downarrow$ by smaller %*
- D when the price elasticity of supply of imports is greater than 1

20 How will an increase in government spending on infrastructure affect aggregate demand and aggregate supply? *AS ↑*

	aggregate demand	aggregate supply
A	decreases	increases
B	increases ✓	decreases
☒ C	increases ✓	increases ✓
D	stays the same	increases ✓

*AD ↑
Component of AD,
so AD ↑,
spending on infrastructure,
improve geographical mobility,
Transport cost ↓, AS ↑*

Absolute advantage, greater quantity, Country R, both goods
 Comparative advantage, lower opportunity cost.

21 The table shows the amount of good X or the amount of good Y that can be produced by country R and country T if each uses all of their resources.

Country T (X: Y)
 ↓
 20 : 80
 1 : 4
 specialize in good Y

	output of good X	output of good Y
country R	80	100
country T	20	80

Country R (X: Y)
 ↓
 80 : 100
 1 : 1.25
 specialize in good X

What can be concluded from the table?

- A Country R has an absolute advantage in producing good Y and a comparative advantage in producing good X. ✓
- B Country R has an absolute advantage in producing good X and a comparative advantage in producing good Y. ✗
- C Country T has an absolute advantage in producing good X and a comparative advantage in producing good Y. ✗
- D Country T has an absolute advantage in producing good Y and a comparative advantage in producing good X. ✗

Country T doesn't have absolute advantage

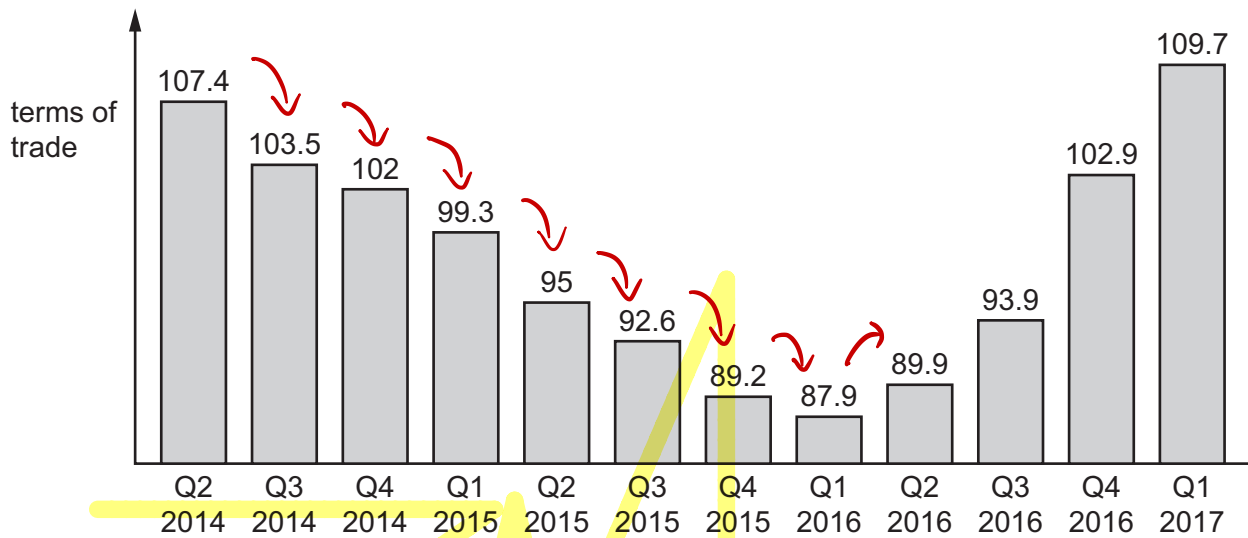
22 What is most likely to lead to a persistent surplus in a country's current account of its balance of payments?

- A a low domestic savings rate, save ↓, spend ↑, C ↑, M(TE) ↑, outflows ↑, deficit
- B an undervalued exchange rate Depreciate, Xp ↓, Mp ↑, Trade surplus
- C highly protectionist policies by other countries Exports uncompetitive, deficit
- D low investment income from abroad

↳ less inflow, deficit

$$\frac{\text{Index of X price}}{\text{Index of M price}}$$

23 The diagram shows Australia's terms of trade per quarter from Q2, 2014 to Q1, 2017.



In which period did Australia's terms of trade decline and then improve?

improve
A Q2, 2014 to Q4, 2014

B Q1, 2015 to Q3, 2015

☒ C Q4, 2015 to Q2, 2016 *Correct*

D Q3, 2016 to Q1, 2017

decline both times

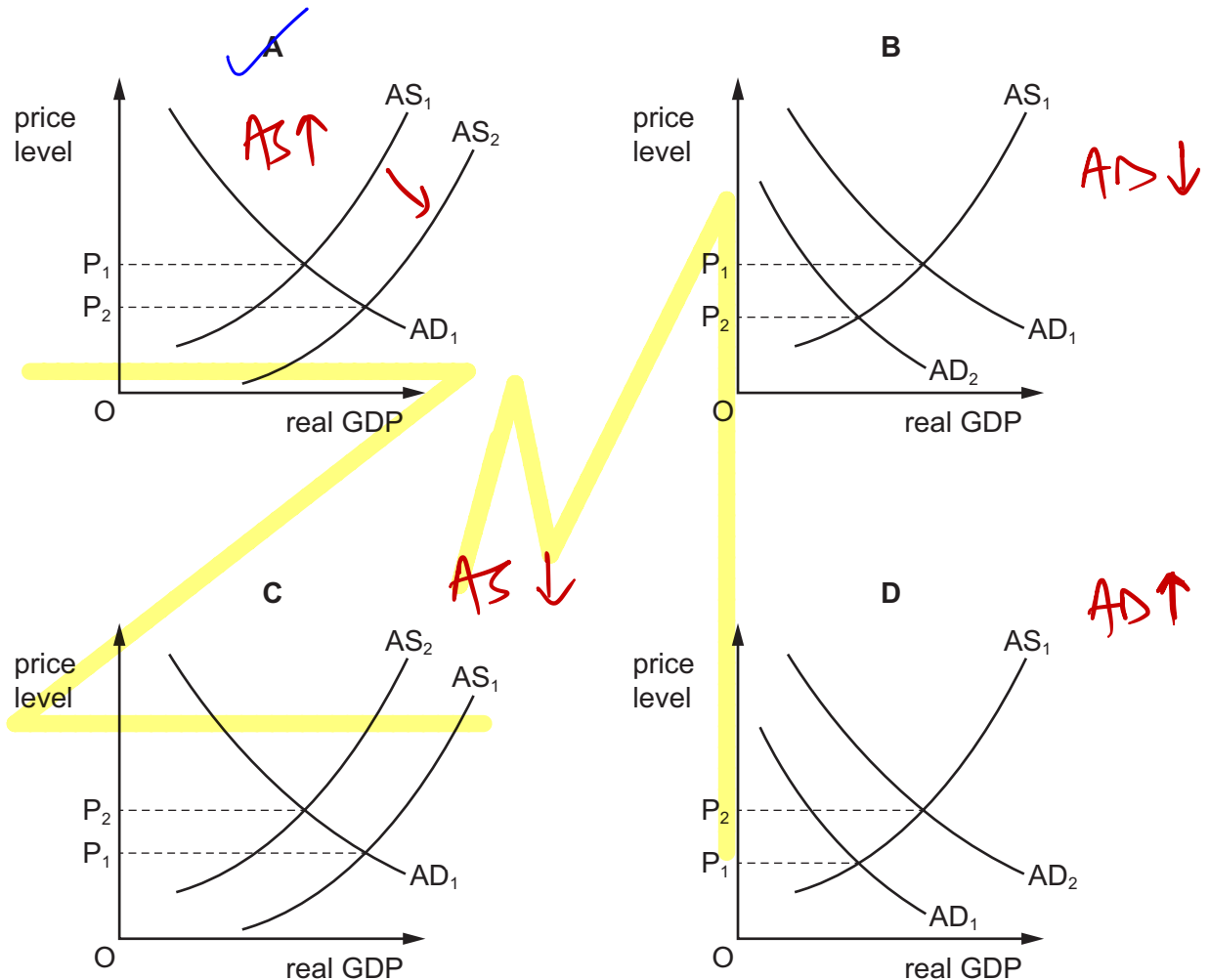
Q4 *Q2*

24 The diagrams show a country's aggregate demand (AD_1) and aggregate supply (AS_1) curves.

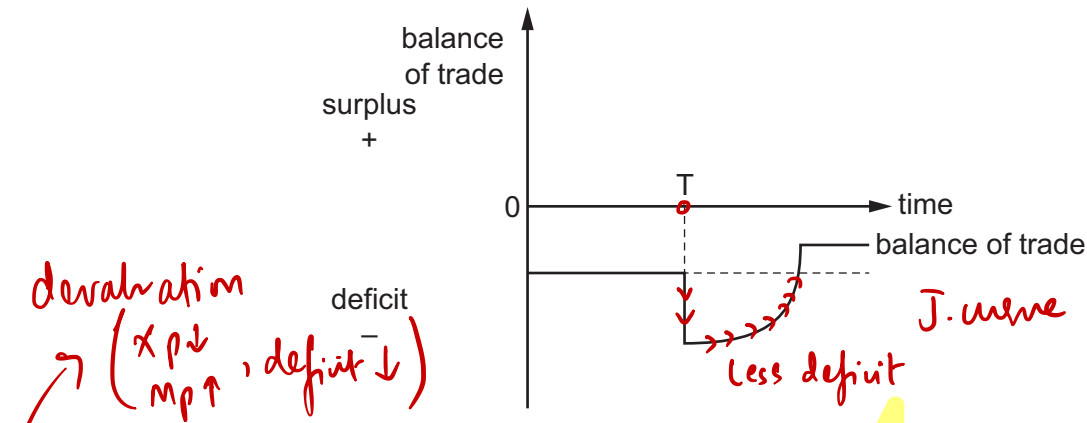
Since the world economic downturn (2007–2008) some governments have reduced labour costs and ensured interest rates remained unchanged.

$AS \uparrow$

How would this **most** likely be shown on a diagram?



25 An economy changes its exchange rate at time T.



What does the J-curve diagram show happens at T and after T?

	exchange rate change at time T	Marshall-Lerner condition
A	devaluation	does not apply
B	devaluation	applies ✓
C	revaluation	does not apply
D	revaluation	applies ✓

→ $X + M, PED > 1$

26 What always happens when there is an increase in the Consumer Price Index?

A an increase in consumer expenditure, *not necessarily*

B an increase in the cost of living ✓

C a reduction in living standards, *other factors requires, example nominal income, Health, education*

D a reduction in real disposable income, *Tax information requires*

27 What would not be included in Germany's balance of payments accounts?

A financial investments in Germany by Japanese banks *Inflow, recorded*

B foreign aid received by Germany *Inflow, recorded*

C the German terms of trade ✓

D the takeover of a German company by a French company, *Investment, recorded.*

$$ToT = \frac{\text{Index of Export price}}{\text{Index of import price}}$$

Depreciation, $X_p \downarrow$, $M_p \uparrow$: surplus

12

Target: reduce surplus

28 An economy has a balance of payments surplus, which it wishes to eliminate.

In order to achieve this objective, which combination of policies would be most appropriate?

A a depreciation of the currency and an increase in government spending

B an appreciation of the currency and a cut in interest rates

C an increase in the money supply and a pay freeze

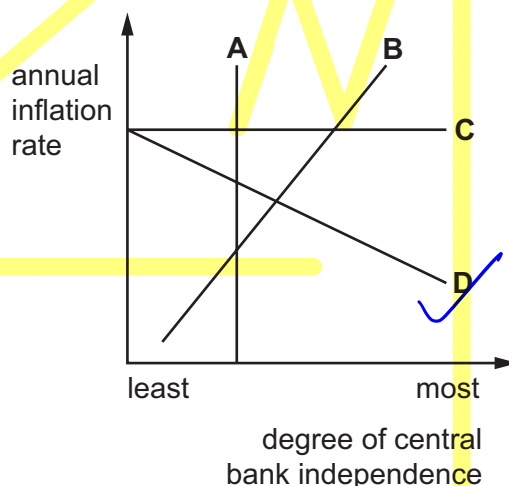
D increases in both direct and indirect taxation

Appreciation, $X_p \uparrow$, $M_p \downarrow$,
deficit

$R \downarrow$, spend $\uparrow$, $M(\text{IE}) \uparrow$, deficit

29 The diagram shows the possible relationships between the degree of independence of the central bank and the level of inflation.

Which relationship suggests that central bank independence is an effective way to reduce inflation?



* Independence $\uparrow$

Rate of inflation $\downarrow$

* Negative relationship
Downward sloping

C: unchanged
rate of inflation

A: unchanged degree of
independence

B: positive relationship

30 Which change in economic circumstances is most likely to lead to a reduction in the rate of domestic inflation in an economy?

A a depreciation in the currency

B a reduction in the productivity of labour

C a world-wide recession

D an increase in direct taxes to finance increased welfare payments

$X_p \downarrow$, $M_p \uparrow$, Trade surplus, incomes $\uparrow$, $AD \uparrow$, $AD \uparrow > AS$, $P \uparrow$

$AS \downarrow$, Price $\uparrow$

Incomes $\downarrow$, $AD \downarrow$, $P \downarrow$

progressive tax

$G \uparrow$, $AD \uparrow$, $P \uparrow$

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